

Electronic Commerce

Unit-1

History of E-commerce

Most of us have shopped online for something at some point, which means we've taken part in e-commerce. So it goes without saying that e-commerce is everywhere. But very few people may know that e-commerce has a history that goes back to before the internet began.

E-commerce actually goes back to the 1960s when companies used an electronic system called the Electronic Data Interchange to facilitate the transfer of documents. It wasn't until 1994 that the very first transaction took place. This involved the sale of a CD between friends through an online retail website called Net Market.

The industry has gone through so many changes since then, resulting in a great deal of evolution. Traditional brick-and-mortar retailers were forced to embrace new technology in order to stay afloat as companies like Alibaba, Amazon, eBay, and Etsy became household names. These companies created a virtual marketplace for goods and services that consumers can easily access.

Meaning of e-commerce

As is obvious, the term e-commerce is an abbreviated term for 'electronic commerce', which refers to the process of undertaking business transactions over internet. Almost anything - ranging from basic items such as breads or soaps, to high end expensive products such as computers or cars and even highly specialized services such as sale of second-hand products to purchase of property, are all available on the related e-commerce web-portals. Depending on the products and services available, e-commerce web-portals could be understood to be 'Generic' and 'Specific'. Examples of generic ecommerce portals are 'Flip Cart', 'Amazon', where one could buy any product, ranging from furniture to flowers. On the other hand 'Big Basket' could be termed as a specific e-commerce web portal as the customer can order for only grocery related products on this web portal.

Framework of e-commerce

E-commerce frameworks are software platforms or structures that provide a foundation for building and managing online stores and digital commerce websites. They are pre-built,

customizable solutions designed to streamline the development and deployment of ecommerce websites, making it easier for businesses to set up and manage their online presence. By using an e-commerce framework, businesses can save time and resources, as they don't need to build these functionalities from scratch.

The Pillars of E-commerce Framework

**Technological
Marketing**

Digital

Infrastructure

Pillar I: Technology Infrastructure

A solid and dependable technology infrastructure is at the heart of any successful **e-commerce** venture. This pillar focuses on the technical aspects that allow an online store to run smoothly and provide a seamless user experience e-commerce framework.

- **Responsive and User-Friendly Website Design**

Attracting and retaining customers requires a mobile-responsive and user-friendly website design. With the growing use of smartphones and tablets, customers expect a unified shopping experience across all devices. A responsive design ensures that the website adjusts to the size of the screen, allowing for optimal viewing and navigation.

- **Secure Payment Gateways**

E-commerce security is a top priority. Integrating secure payment gateways ensures that sensitive financial information provided by customers is encrypted and protected from unauthorized access. This instills trust in customers, encouraging them to conduct secure online transactions.

- **Inventory Management System**

Inventory management is critical for ensuring that products are available and ready for shipment. An automated inventory system keeps track of stock levels, which reduces the likelihood of overselling or stock outs.

- **Order Processing and Fulfillment**

Order processing and fulfillment have been streamlined to ensure that customers receive their purchases on time and accurately. Order verification, packing, shipping, and tracking are all part of an efficient fulfillment process.

- **Customer Relationship Management (CRM) Software**

CRM software enables companies to manage customer interactions, track customer preferences, and provide personalized experiences. It aids in the development of strong customer relationships and fosters loyalty.

Pillar II : Digital Marketing Strategies

The second pillar of the **e-commerce** framework is centered on marketing strategies that drive traffic, raise brand visibility, and ultimately increase sales. To remain competitive in the online marketplace, effective digital marketing strategies are required.

- **Search Engine Optimization (SEO)**

SEO refers to the process of optimizing a website so that it appears higher on search engine results pages. Businesses can increase organic traffic to their website and reach potential customers who are actively searching for their products or services by optimizing for relevant keywords.

- **Pay-Per-Click (PPC) Advertising**

Businesses can use PPC advertising to display advertisements on search engines and social media platforms. Advertisers only pay when users click on their ads, making it a low-cost method of driving targeted traffic to a website.

- **Social Media Marketing**

Businesses can use social media platforms to engage with their customers, raise brand awareness, and drive traffic to their online stores. Brand perception and customer acquisition can be significantly influenced by engaging content and targeted advertisements.

- **Email Marketing**

Email marketing is a great way to nurture leads and build customer loyalty. Sending subscribers personalized and relevant content can result in increased repeat purchases and higher customer retention rates.

- **Content Marketing**

Content marketing entails producing useful and informative content in order to attract and engage the target audience. Well-crafted blog posts, videos, info graphics, and other content formats can help a brand establish itself as an industry authority.

Tools of e-commerce

e-commerce tools are pieces of software like apps, platform and plug-ins that help business owners manage their online stores.

Ecommerce tools are literally the building blocks of any online store. If you're running an online store, there are a lot of moving parts to keep track of: customer support, marketing, logistics.

7 types of ecommerce tools

- Ecommerce_platforms_
- Content_creation
- Communication_and_internal_organization
- Sales_and_logistics
- Marketing
- Analytics
- Customer service

There are numerous ways to create, manage, and boost your ecommerce website. Below are seven types of ecommerce tools that are most commonly used by online businesses.

1. Ecommerce platforms

The first step to building an online store is choosing the right ecommerce platform. An ecommerce platform essentially is the software that an ecommerce store uses to take care of core needs, from product pages to order fulfillment.

Your platform affects your customers' shopping experience. It needs to be user friendly, fast, and reliable to ensure a smooth shopping experience, which can directly influence customer satisfaction and return rates. Example-

Shopify is an all-in-one ecommerce platform that helps online businesses get up and running. Offerings include a robust set of ecommerce tools like a website builder with paid and free themes, built-in marketing tools to help build, execute, and analyze digital marketing campaigns, a shopping cart with 100 payment gateways, and multichannel selling.

2. Content creation

Creating content for an ecommerce website can be a powerful way to increase visibility. It's also fairly straightforward, thanks to ecommerce tools like the following: Example-

Canva

Canva is an ecommerce tool that helps teams—even those with little to no experience—create visually pleasing designs. Whether designing a brand identity or just creating supportive imagery for your online store, Canva's drag-and-drop tools make it easy to create and share well-designed assets.

3. Communication and internal organization

Ecommerce tools can also be beneficial for the inner workings of an online business. This could mean anything from having a dedicated space to communicate with employees, to a platform for streamlining project management tasks. Example-

Slack

A messaging platform designed with workers in mind, Slack lets you and your employees chat with each other in real time. This can be a productivity booster for remote workers, especially because Slack enables teams to get organized, manage each other, and communicate about daily to-do.

4. Sales and logistics

Sales and logistics are a significant part of running an online business. While some ecommerce platforms offer these tools as part of their overall services, there are also a few prominent stand-alone options. Example-

Shipwire

Shipwire is a global fulfillment platform that fulfills orders for direct-to-consumer, retail, and dropship channels. By integrating with your existing shopping cart and marketplace, Shipwire provides logistical support and enables both national and international shipping.

5. Marketing

There are many different marketing tools, from content marketing to paid ads. Among the options are: Example-

Mailchimp

Email newsletters are a powerful ecommerce tool: They provide a direct channel to customers and offer a dedicated space to share updates, promotions, and other information.

An email platform like Mailchimp streamlines the marketing process by helping you build, send, and track email marketing campaigns. An added bonus: Mailchimp integrates with Shopify, meaning it syncs your Shopify data—including customer, product, and purchase data—to Mailchimp.

6. Analytics

Ecommerce analytics measure user behavior, performance trends, and return on investment (ROI). With the right tool, it's easier to make informed decisions that potentially increase sales and reduce costs. Example-

Google Analytics

With an ecommerce tool like Google Analytics, it's possible to gather insights about returning visitors as well as data around real-time stats like: How many people are on the website? Where is the traffic coming from? How are visitors engaging with products?

7. Customer service

An ecommerce tool that helps support online shoppers during their customer journey is crucial. Ideally, you'll want a customer support platform that both helps retain repeat customers and attracts new ones. Example-

Acquire

Acquire's platform helps online stores provide high quality customer support, streamlining workflows and customer information for customer service agents. Think of it as a unified experience: Customer service representatives can see queries across all digital channels in one place and resolve issues more efficiently.

Growth of e-commerce

E-commerce in India has developed extensively and offers abundant opportunities in developing countries like India. Highly dense urban areas with very high literacy rates, an